

PABRAI INVESTMENT FUNDS

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To: All Limited Partners and Investors of the Pabrai Investment Funds
From: Mohnish Pabrai, Managing Partner
Date: January 15, 2013
Re: **2012 Results et. al.**

Dear Partners:

Happy New Year! December 31 was our annual redemption date. A total of \$78.7 Million was redeemed from the various funds in 2012. The redemptions on a per fund basis are:

PIF2: \$6.4 Million PIF3: \$32.7 Million PIF4: \$39.6 Million

Included in the above redemptions is \$1 Million from PIF2 by Dalal Street, Inc. This is Pabrai family redemptions to cover residual 2012 taxes, non-reimbursed Pabrai Funds operating expenses and future contributions to The Dakshana Foundation.

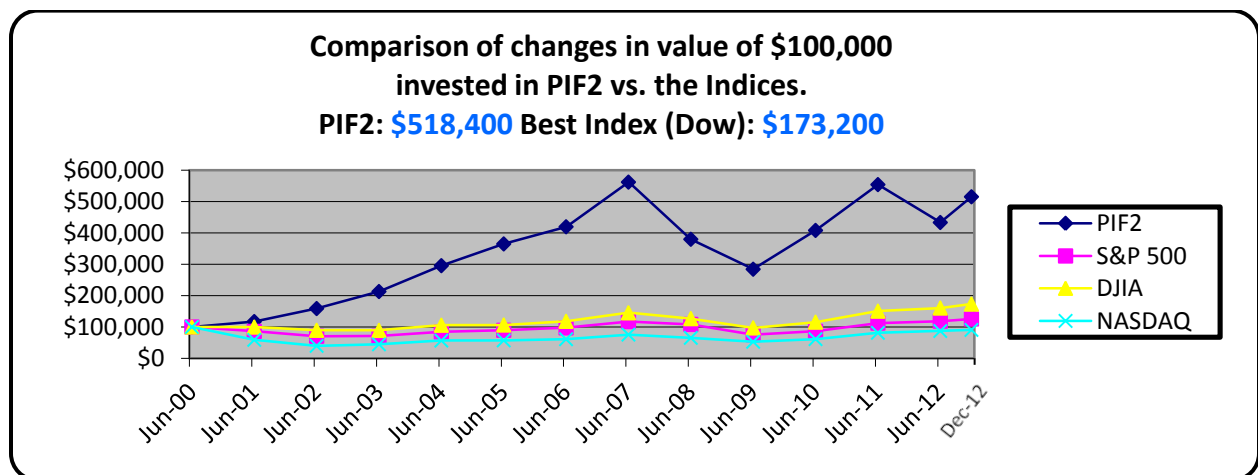
As a reminder, while PIF2 and PIF4 are closed to new investors (or additions from existing investors), PIF3 re-opened to new money from existing or new investors on August 1, 2012. PIF3 is our offshore fund for Accredited Investors and Institutions based outside the United States. To invest in PIF3, one needs to be a non-US accredited offshore investor, private foundation, endowment, or IRA.

The minimum investment to join as a new partner is \$2.5 million for individuals and \$10 million for IRAs/Foundations/Endowments. For current investors, the minimum addition to their current investment is \$25,000. The next opening is on February 1, 2013. If you are interested or would like more information, please contact Julie Teltscher or me at jteltscher@pabraifunds.com and mp@pabraifunds.com, respectively.

For the quarter ended December 31, 2012, \$2.6 million was added to PIF3 by existing and new partners. The updated performance numbers on all the funds are:

PABRAI INVESTMENT FUND 2 (US Accredited Investors) Performance Summary:

	DJIA	NASDAQ	S&P 500	PIF2 (net to investors)
10/1/00 – 6/30/01	-0.2%	-41.0%	-14.0%	+17.4%
7/1/01 – 6/30/02	-10.3%	-32.7%	-18.0%	+35.3%
7/1/02 – 6/30/03	-0.5%	+11.4%	+0.3%	+34.2%
7/1/03 – 6/30/04	+18.6%	+26.8%	+19.1%	+38.7%
7/1/04 – 6/30/05	+0.7%	+1.1%	+6.3%	+23.4%
7/1/05 – 6/30/06	+11.1%	+6.5%	+8.6%	+15.0%
7/1/06 – 6/30/07	+23.0%	+20.7%	+20.6%	+34.0%
7/1/07 – 6/30/08	-13.3%	-11.2%	-13.1%	-32.4%
7/1/08 – 6/30/09	-23.0%	-19.1%	-26.2%	-25.2%
7/1/09 – 6/30/10	+18.9%	+16.0%	+14.4%	+43.6%
7/1/10 – 6/30/11	+30.4%	+32.9%	+30.7%	+35.8%
7/1/11 – 6/30/12	+5.2%	+5.4%	+3.9%	-21.8%
7/1/12 – 12/31/12	+3.2%	+3.9%	+5.9%	+18.9%
1/1/12 – 12/31/12	+10.2%	+17.7%	+16.0%	+20.5%
Annualized	+4.6%	-0.8%	+1.9%	+14.4%
Cumulative	+73.2%	-9.4%	+25.6%	+418.4%

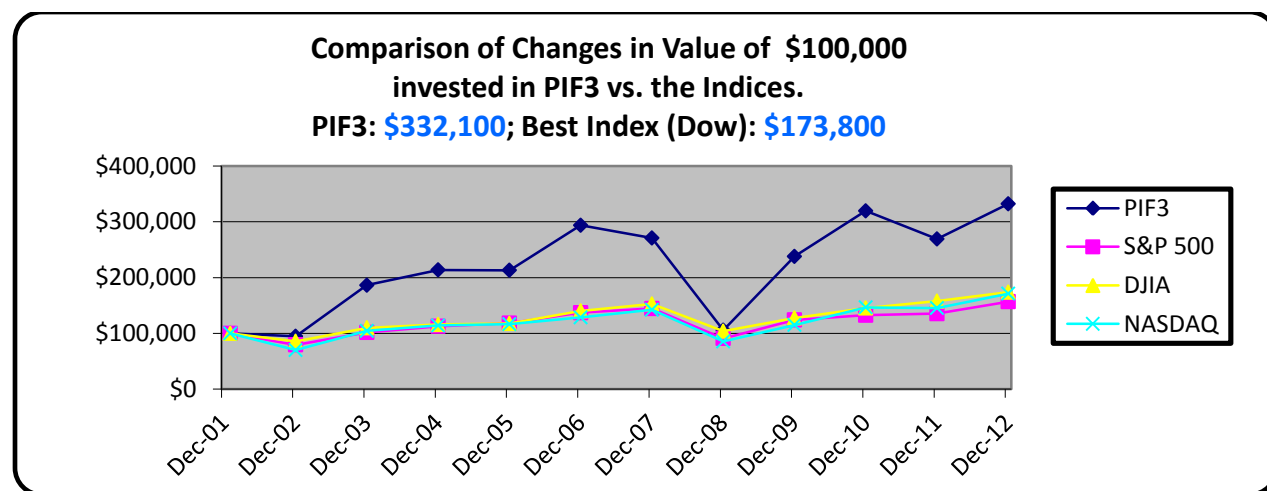


PIF2 Investors:

A \$100,000 investment in PIFI at inception on July 1, 1999 and rolled over into PIF2 on 12/31/02 (\$197,900) was worth \$726,200 as of December 31, 2012 (net to investors). This equates to an annualized return of 15.8% since inception – after all management fees and expenses. The best index over the same period was the Dow and an investment of \$100,000 in the DJIA on July 1, 1999 was worth \$163,900 on December 31, 2012 – an annualized gain of 3.7%. The Dow gains include reinvested dividends. In the graph above, the start date for PIF2 is shown as June 2000 for readability. The correct start date is October 2000.

PABRAI INVESTMENT FUND 3 (Offshore/IRA Investors) Performance Summary:

	DJIA	NASDAQ	S&P 500	PIF3 (net to investors)
2/1/02 – 12/31/02	-14.1%	-29.9%	-20.4%	-5.2%
1/1/03 – 12/31/03	+28.3%	+50.8%	+28.7%	+96.5%
1/1/04 – 12/31/04	+5.3%	+9.2%	+10.9%	+14.7%
1/1/05 – 12/31/05	+1.7%	+2.1%	+4.9%	-0.2%
1/1/06 – 12/31/06	+19.0%	+10.4%	+15.8%	+37.8%
1/1/07 – 12/31/07	+8.9%	+10.7%	+5.5%	-7.8%
1/1/08 – 12/31/08	-31.9%	-39.9%	-37.0%	-60.9%
1/1/09 – 12/31/09	+22.7%	+45.4%	+26.5%	+125.0%
1/1/10 – 12/31/10	+14.1%	+18.2%	+15.1%	+34.4%
1/1/11 – 12/31/11	+8.4%	-0.8%	+2.1%	-15.7%
1/1/12 – 12/31/12	+10.2%	+17.7%	+16.0%	+23.4%
Annualized	+5.2%	+5.1%	+4.2%	+11.6%
Cumulative	+73.8%	+71.3%	+56.9%	+232.1%

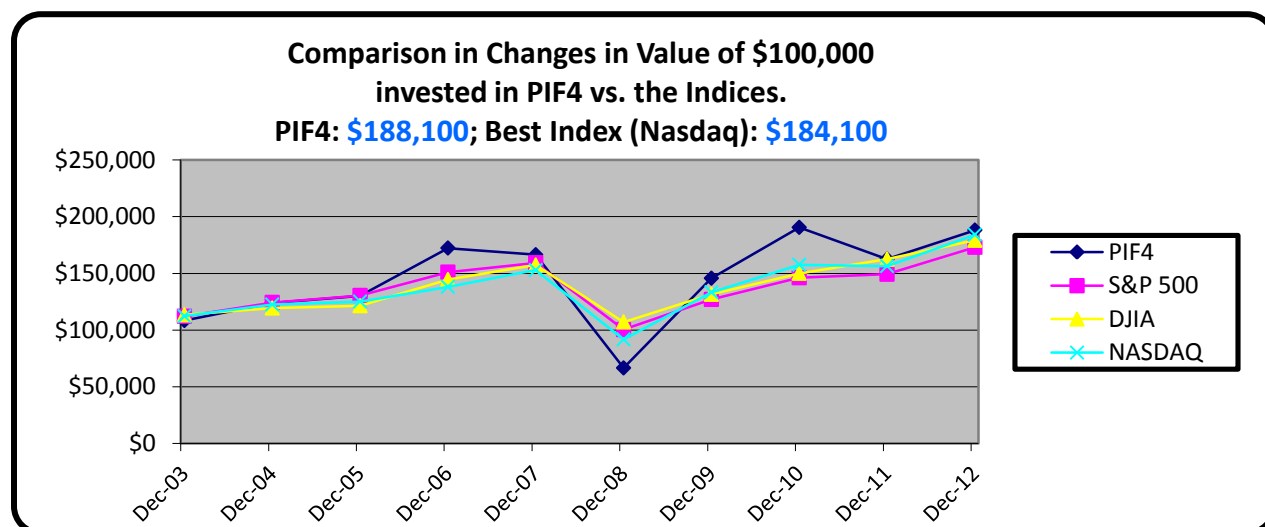


PIF3 Investors:

A \$100,000 investment in PIF3 at inception on February 1, 2002 was worth \$332,100 as of December 31, 2012 (net to investors). This equates to an annualized return of 11.6% since inception. The best index over the same period was the Dow and an investment of \$100,000 in the DJIA on February 1, 2002 was worth \$173,800 on December 31, 2012 – an annualized gain of 5.2%. The Dow gains include reinvested dividends. In the graph above, the start date for PIF3 is shown as Dec 31, 2001 for readability. The correct start date is Feb. 1, 2002.

PABRAI INVESTMENT FUND 4 (US Qualified Investors) Performance Summary:

	DJIA	NASDAQ	S&P 500	PIF4 (net to investors)
10/1/03 – 12/31/03	+13.4%	+12.3%	+12.2%	+8.4%
1/1/04 – 12/31/04	+5.3%	+9.2%	+10.9%	+14.4%
1/1/05 – 12/31/05	+1.7%	+2.1%	+4.9%	+4.9%
1/1/06 – 12/31/06	+19.0%	+10.4%	+15.8%	+32.4%
1/1/07 – 12/31/07	+8.9%	+10.7%	+5.5%	-3.4%
1/1/08 – 12/31/08	-31.9%	-39.9%	-37.0%	-60.0%
1/1/09 – 12/31/09	+22.7%	+45.4%	+26.5%	+118.8%
1/1/10 – 12/31/10	+14.1%	+18.2%	+15.1%	+30.7%
1/1/11 – 12/31/11	+8.4%	-0.8%	+2.1%	-14.8%
1/1/12 – 12/31/12	+10.2%	+17.7%	+16.0%	+16.1%
Annualized	+6.5%	+6.8%	+6.1%	+7.1%
Cumulative	+79.1%	+84.1%	+73.0%	+88.5%



PIF4 Investors:

A \$100,000 investment in PIF4 at inception on October 1, 2003 was worth \$188,500 as of December 31, 2012 (net to investors). This equates to an annualized gain of 7.1% since inception. The best index over the same period was the Nasdaq and an investment of \$100,000 in the Nasdaq on October 1, 2003 was worth \$184,100 on December 31, 2012 – an annualized gain of 6.8%. The Nasdaq gains include reinvested dividends. In the graph above, the start date for PIF4 is shown as Dec 31, 2003 for readability. The correct start date is Oct. 1, 2003.

General Comments

2012 was a pretty good year for Pabrai Funds. PIF2, PIF3 and PIF4 were up 20.5%, 23.4% and 16.1% respectively. They also outperformed all the various benchmark indices except for PIF4 lagging the Nasdaq by 1.6%.

Our focus, however, is not on single year results. What truly matters is how we've done over much longer periods. Here the news is quite good. Over the life of the three funds – 13, 11 and 9 years respectively, all three funds have outperformed all three indices – after all fees and expenses. In the case of PIF2 and PIF3 the degree of outperformance is substantial.

Performance Differences Between the Funds

The diligent reader will notice that, while the three funds are managed similarly, their results differed substantially in 2012. I'd like to provide some color on this front. PIF2 and PIF4 investors are typically US residents subject to US taxes. PIF3 is our offshore fund – and its investor base is primarily tax-exempt entities like foundations, endowments and IRAs. We also have several non-US investors in PIF3. PIF3 is thus agnostic on taxes while PIF2 and PIF4 are quite sensitive to tax issues.

For example, PIF2 bought Bank of America stock at an average price of \$7.63 mostly in September and October of 2011. Just two months later, the shares were changing hands at \$5.07 – and we sold our position – hoping to capture the tax loss in 2011 and buy it all back after 31 days. Literally on the 31st day we bought back our entire position, but had to pay an average price of \$7.04. I tried to mitigate any run in BAC stock over this period by buying Wells Fargo stock as a proxy. Wells did go up over this period, but nowhere near the amount Bank of America did. PIF4 had similar outcomes. PIF3 did not engage in any of this tax-loss selling. And Bank of America wasn't our only position where this happened.

And more recently, I attempted to capture the tax loss on another position in August '12. In that case, PIF2 was able to buy back the entire lot at substantially the same price after 31 days. PIF4, however, could not complete its buyback. The stock had risen by over 50% and I just could not bring myself to buy it back at those prices.

Had PIF2 and PIF4 not engaged in any tax-loss selling, our 2012 performance numbers for both these funds would have been meaningfully higher – approximating what PIF3 delivered. Needless to say, I am not a raving fan of tax-loss selling. We did substantially lower realized gains in 2011 and 2012, but paid a heavy price for it.

Tax-loss selling is one reason for differences in the funds. Another is cash levels. On Dec. 31, 2012, the redemptions between the three funds, as a percentage of assets were quite

different at about 6%, 20% and 15%, respectively. These redemption differences lead to some dissimilarity in cash levels, and positions held between the funds – which eventually flow through to real performance differences on virtually identical strategies.

2012 Redemptions

At \$79 million our redemptions in 2012 is the largest amount of assets leaving Pabrai Funds. The good news is that since we are close to all-time highs on all three funds, most of the redeemers are exiting at a gain or muted losses. I very much appreciate the trust placed in me by *all* partners – regardless of the period for which you choose to partner with me – although I do hope it is for a very very long time.

For much of 2012, the funds were holding very significant cash balances. Thus, even these large redemptions did not require us to sell meaningful amounts of undervalued securities. Our cash balances are now considerably lower, but we haven't had any new investment ideas since June and are net sellers of equities today. As I write this letter, our cash balances are rising again.

Large Discount to Intrinsic Value

Intrinsic value estimates are just that. They are estimates and I could be wrong about the intrinsic value of some of our holdings – as has been the case many times in the past. By my estimation, all three funds trade at very substantial discounts to underlying intrinsic value – among the largest discount since inception. In general, we've tended to have lots of redemptions when the discount to intrinsic value is large. And we've tended to have massive inflows when this discount is muted or even (in hindsight) negative. Investors would be so much better off if this situation was reversed!

The good news is that since most of the funds are closed, I am now able to help investors partially help themselves. We will only open PIF2 and PIF4 when we have lots of investment opportunities and a huge discount to intrinsic value coupled with low cash balances.

However, I have no control over redemptions in any of the funds. In 2012, the largest redemptions we've had to date are paired with one of the largest discounts to intrinsic value in our history. It is far from an ideal situation for redeeming partners. These large redemptions are likely a great leading edge indicator to terrific performance in the years ahead. For everyone who stayed put and didn't redeem, you now own a greater share of undervalued securities than you did on December 30. It just gives us even more tailwinds for the future. You definitely helped yourself by simply doing nothing.

2012 Annual Meeting Transcript

The 2012 Annual Meeting slides and transcript are already posted on our website. Here is the link to the transcript:

http://www.pabraifunds.com/website/2012_PIF_AM_Transcript.pdf

The transcript is best read in conjunction with the slides:

http://www.pabraifunds.com/website/2012_PIF_AM_Slides.pdf

The Motley Fool Interviews

Investors have complained about the short length of these letters since we started publishing our annual report. To appease you, here is some more commentary from me that I hope you enjoy.

In December, I was interviewed by The Motley Fool at our Irvine office. There were several topics and here are the links to the interview by subject:

- [Checklist Investing: How to Avoid Errors and Learn](#)
- [The Number One Trait of a Successful Investor](#)
- [How Investors Should Think About the Economy](#)
- [The Untraditional Path of Becoming a Great Investor](#)
- [A Great Investor's Lessons from the Financial Crisis](#)
- [Berkshire After Buffett](#)
- [What I've Learned from Warren and Charlie](#)
- [Where a Great Investor Finds Investing Ideas](#)
- [People Will be Surprised at How Robustly the US Economy Comes Back](#)

Forbes and London Financial Times Articles

My good friend Guy Spier and I wrote 2 articles about the Economic crisis in the Mediterranean countries that were published in Forbes and the London Times. Here are the links:

- Op-Ed Piece in Forbes:
[How a Chinese Economic Policy Could Save Club Med Countries](#)
- The Times (London): [The Motown Way can get Greece Motoring](#)

Other Articles/Media

- Value Conferences Japan Investing Summit 2012:
[Mohnish Pabrai and Guy Spier on Investing in Japan and Beyond](#)

Annual Report – Will be out in April, 2013

The annual report is slated to be published in late April, 2013 – after the audit reports are out. We'll continue to have 4 quarterly letters like this one. However, general commentary in these quarterly missives is now minimal.

Alignment of Interests

All three funds are below their historic NAVs and hence no fees were earned by any of the funds for the quarter. My immediate family has a stake of 353,492 units of PIF2; 8,417 units of PIF3; 1,224,824 units of PIF4 and about 33,000 units of PIF4 in a retirement account. This stake is worth over \$42 Million. My family has no interests in any other mutual funds, hedge funds or private equity funds. I have a deep vested interest in the future performance of Pabrai Funds.

Pabrai Funds charges no management fee, just performance fees – which are ¼ of the returns over 6% annualized (subject to high-water marks). I only get paid when you make money. When you win, I win. Our interests are completely aligned. I am very bullish on the long-term future of Pabrai Funds – as demonstrated by my being the single largest investor in the funds.

Final K-1's (for US Investors)

For PIF2 and PIF4 investors, we expect your final K-1s to be emailed to you (password protected) by March 31, 2013.

Privacy Policy

Dalal Street, LLC., Managing Partner/Director of Pabrai Investment Funds 2, Pabrai Investment Funds 3, and Pabrai Investment Funds 4, is required by law to inform investors annually of our policy regarding privacy of client information. Here is the link to the Privacy Policy - [Privacy Policy](#)

2013 Annual Meetings – Save the Date:

As is our usual modus operandi, there will be two annual meetings sequentially at Orange County, California & Chicago, Illinois.

The **California** meeting is scheduled to be on **Saturday, Sept. 7, 2013** at 4:00 PM. We were very pleased with our new venue this year and will return to Soka University next year.

[Soka University](#)

Performing Arts Center

1 University Drive, Aliso Viejo, California 92656

Tel. +1949.480.4000

Soka University has a spectacular campus nestled in the scenic hills of Aliso Viejo. It is a 20 minute drive from Orange County Airport (SNA), and about an hour drive from LAX.

There is a fantastic Marriott Club Sport hotel about 3 miles from Soka University:

[Marriott Renaissance ClubSport](#)

50 Enterprise

Aliso Viejo, CA 92656

Reservations: 800-468-3571

Phone: 949-643-6700

There are many hotels in the area. Here is a link to other hotels near Soka University:

<http://tinyurl.com/8dmewvu>

The Chicago meeting is thus scheduled to be on **Saturday, Sept. 21, 2013** at 4:00 PM at

[Carlucci's Restaurant](#)

(The Auditorium)

6111 North River Road, Rosemont, Illinois 60018

Tel. +1847.518.0990

Carlucci's is a five minute taxi ride away from O'Hare airport. [The Marriott Suites O'Hare](#) and [The Westin O'Hare](#) are both next to the restaurant. In addition, there are a plethora of hotels in the vicinity. Good deals on O'Hare hotels are usually available on the major travel-related websites.

Agenda:

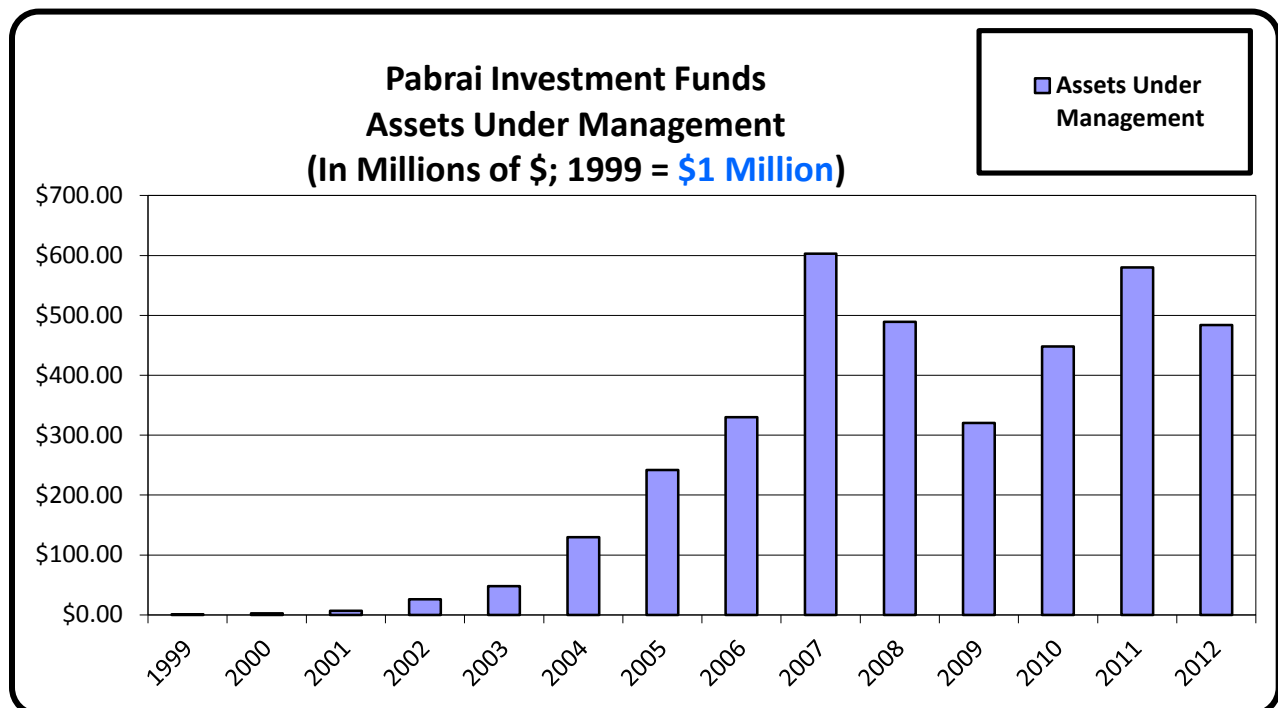
4:00 – 4:30 PM:	Meet and Greet
4:30 – 6:30 PM:	Presentation and Q&A
6:30 – 7:15 PM:	Cocktail Hour

7:15 PM: Dinner

The invites will go out in July, 2013. Your significant other and kids of all ages are welcome to attend. I look forward to seeing you in September.

Assets Under Management

There is over \$485 Million in assets under management between all the funds as of January 1, 2013.



Thanks for your continued interest, referrals and support. Feel free to call me at +1949.453.0609 or email me at mp@pabraifunds.com with any queries or comments.

Warm regards,

Mohnish Pabrai

Appendix

PIF2's Performance History (Net to Investors)

No. of Units	Date	PIF2 NAV
110,000	10/1/2000	\$10.00
330,014	6/30/2001	\$11.74
1,027,795	6/30/2002	\$15.89
1,950,982	6/30/2003	\$21.32
2,445,212	6/30/2004	\$29.58
2,696,687	6/30/2005	\$36.52
2,646,687	6/30/2006	\$41.99
3,013,111	6/30/2007	\$56.25
2,934,990	6/30/2008	\$38.01
2,468,091	6/30/2009	\$28.45
2,409,165	6/30/2010	\$40.84
2,257,421	6/30/2011	\$55.46
2,180,892	6/30/2012	\$43.36
2,057,676	12/31/2012	\$51.84

PIF3's Performance History (Net to Investors)

No. of Units	Date	PIF3 NAV
65,100	2/1/2002	\$10.00
265,919	12/31/2002	\$9.48
485,041	12/31/2003	\$18.63
1,774,753	12/31/2004	\$21.37
2,478,793	12/31/2005	\$21.32
2,930,608	12/31/2006	\$29.37
6,438,615	12/31/2007	\$27.09
5,415,189	12/31/2008	\$10.57
5,038,658	12/31/2009	\$23.79
4,885,267	12/31/2010	\$31.95
4,701,613	12/31/2011	\$26.92
4,318,818	12/31/2012	\$33.21

PIF4's Performance History (Net to Investors)

No. of Units	Date	PIF4 NAV
595,030	10/1/2003	\$10.00
1,219,330	12/31/2003	\$10.84
5,627,712	12/31/2004	\$12.40
9,314,803	12/31/2005	\$13.01
11,528,331	12/31/2006	\$17.23
16,899,746	12/31/2007	\$16.64
15,737,042	12/31/2008	\$6.66
15,725,066	12/31/2009	\$14.57
15,251,129	12/31/2010	\$19.05
14,493,713	12/31/2011	\$16.24
12,398,564	12/31/2012	\$18.85